the same behavioral biases as other investors, how can we exploit that irrationality without falling victim to it ourselves?

THE BROKEN-LEG PROBLEM

Most deeply undervalued, fundamentally weak stocks are that way because their futures appear uncertain—they are losing money or marginally profitable—and, on an individual basis, don't appear to be good candidates for purchase. We know, however, that in aggregate they provide excellent returns, outperforming the market in the long run and suffering fewer down years than the market. This is an area in which our native intuition fails us. As we have seen, no matter how well trained we are, humans tend to have difficulty with probabilistic, uncertain, and random processes. Confronted with problems requiring an intuitive grasp of the odds in an unfamiliar context, even the best investors and behavioral finance experts flounder. If mere awareness that our judgment is clouded by our nature does little to correct the errors we make, how then can we protect against them? Since the 1950s, social scientists have been comparing the predictive abilities of traditional experts and what are known as statistical prediction rules. The studies have found almost uniformly that statistical prediction rules are more consistently accurate than the very best experts. Paul Meehl—one of the founding fathers of research in the field—said in 1986:[63]

> *There is no controversy in social science which shows such a large body of qualitatively diverse studies coming out so uniformly in the same direction as this one . . . predicting everything from the outcomes of football games to the diagnosis of liver disease and when you can hardly come up with a half a dozen studies showing even a weak tendency in favour of the clinician, it is time to draw a practical conclusion.*

Meehl's practical conclusion is this: For a very wide range of prediction problems, statistical prediction rules—often very simple models—make predictions that are at least as reliable as, and typically more reliable than, human experts. This observation is now so well-accepted as to be known as *The Golden Rule of Predictive Modeling*.[64]

Rory Sutherland, the vice-chairman of Ogilvy Group UK—the advertising agency founded by David Ogilvy, who was an early advocate of quantification and research in advertising—is a self-described champion of the application of behavioral economics in advertising. Sutherland believes that we are more likely to follow simple, absolute rules—"if X, then Y"—that work